

PHOTO BY **HARDIK CHHABRA**

access to land is still very problematic, even for small firms. There's also often difficulty in raising finance for different things and cities.

▶▶▶

How are fuel prices and supply shocks playing out for Asian economies?

The longer the Strait of Hormuz remains closed, the bigger the impact on the region. In July this

year, we downgraded our growth outlook for Asia Pacific to 4.9% this year from the April outlook that predicted 5.1% growth for the region. Right now, we are still holding to that, though the region has been resilient. Although the conflict has created inflationary pressures in a lot of countries, some countries, including India, have tried to protect their consumers as well as farmers.

▶▶▶

With the conflict in West Asia and US tariff action continuing, what is your view on the global economy? El Niño is also turning into a big risk.

This year we have been spending quite a lot of time trying to understand the impact of the West Asia crisis on Asia. While US tariffs were a big issue last year, they are a little less prominent now. It is

one of the larger shocks to climate and agriculture and will also affect India. But we are somewhat optimistic that the Indian economy has enough drivers of growth and this will not prevent India from achieving a pretty good rate of growth this year. Our forecast for India is GDP growth of 6.6% in FY27 and 7.3% in FY28. **BT**

@surabhi_prasad